

## Liquidity risk management

Liquidity risk is defined as the risk of insufficient solvency on behalf of Coop Pank to perform its contractual obligations on a timely basis - i.e. the bank's failure to finance various assets in a timely and sustainable manner, or to liquidate its positions in order to perform contractual obligations. Liquidity risk is managed based on the liquidity management policy. The objective of liquidity management in Coop Pank is to guarantee, at any given moment, the timely and complete performance of the obligations assumed by the Group while optimising the liquidity risk in such a manner as to achieve maximum and stable profitability on investments with different maturities.

The Bank's main liquidity management body is the Assets and Liabilities Committee (ALCO). The functions and areas of responsibility of ALCO in the management of liquidity are:

- to plan short-term and long-term liquidity of the Group, and to design and implement the measures to be used;
- to analyse and summarise information concerning the Group's assets and liabilities, interest income and expenses, management of liquidity and investments, and, if necessary, to prepare the adoption of strategic decisions by the Board;
- to optimise the ratio of the maturities, profitability and instruments of the Group's assets and liabilities in order to achieve the bank's strategic objectives;
- to regulate the Group's required liquidity level as well the level of the risk of change in the acceptable interest rate risk and the acceptable value of assets and liabilities.

The following bodies are regularly informed of the bank's liquidity position: the Management Board, the Council, ALCO and the Credit Committee. The bank maintains a sufficient level of liquidity in order to ensure timely performance of its obligations.

Coop Pank group uses an approach based on the analysis of the duration gap between the maturities of assets and liabilities for the management of Coop Pank group's liquidity position. An overview of the division of assets and liabilities by maturities has been provided in the following table. Limits have been established for all major liquidity indicators. The following indicators are used for the measurement of liquidity risk:

- Liquidity Coverage Ratio (LCR);
- maintenance period in a liquidity crisis situation;
- financing concentration;
- ratio of liquid assets to demand deposits;
- ratio of non-current liabilities to investments requiring stable funding.

The Group's total duration gap in the period of up to 12 months is negative. This indicates that the Group has more liabilities with a duration of up to 12 months compared to receivables with the corresponding duration. The management of the duration gap risk is based on estimates concerning forecast cash flows arising from liabilities – demand deposits are usually a rather stable source of funding and up to 12-month term deposits are often prolonged – therefore the behavioural nature of these deposits is longer than 12 months. The Group ensures an adequate amount of liquidity buffers in order to meet the net outflow of liabilities as they become due.

The liquidity policy of the Group is built upon the principle of prudence and established liquidity buffers are sufficient to cover even a large-scale outflow of deposits. The Group has established a business continuity and recovery plan for conduct in a liquidity crisis, specifying the actions to be taken for covering a cash flow deficit even in extraordinary circumstances. An overview of the Group's financial assets and financial liabilities by residual maturity (undiscounted cash flows) is provided in the following table.

| 31.12.2025                                                          | Up to 3 months   | 3-12 months     | 1-5 years        | Over 5 years     | Total            |
|---------------------------------------------------------------------|------------------|-----------------|------------------|------------------|------------------|
| <b>Assets</b>                                                       |                  |                 |                  |                  |                  |
| Cash, cash balances at central banks and other deposits             | 488,717          | 0               | 0                | 0                | 488,717          |
| Debt securities at fair value through other comprehensive income    | 53               | 6,227           | 33,850           | 25,899           | 66,029           |
| Debt securities at amortized cost                                   | 95               | 303             | 6,008            | 0                | 6,406            |
| Loans and advances to customers                                     | 102,754          | 343,908         | 1,273,290        | 1,105,113        | 2,825,065        |
| Equity instruments at fair value through other comprehensive income | 0                | 0               | 0                | 13               | 13               |
| Derivatives                                                         | 3,827            | -2,681          | 5,162            | 0                | 6,308            |
| incl. inflows                                                       | 6,450            | 0               | 18,420           | 0                | 24,870           |
| incl. outflows                                                      | -2,623           | -2,681          | -13,258          | 0                | -18,561          |
| Other financial assets                                              | 700              | 38              | 0                | 3                | 741              |
| <b>Total financial assets</b>                                       | <b>596,146</b>   | <b>347,795</b>  | <b>1,318,310</b> | <b>1,131,028</b> | <b>3,393,279</b> |
| <b>Liabilities</b>                                                  |                  |                 |                  |                  |                  |
| Customer deposits                                                   | 1,239,093        | 786,943         | 33,873           | 358              | 2,060,267        |
| Loans received                                                      | 72,718           | 1,511           | 2,969            |                  | 77,198           |
| Debt securities                                                     | 7,791            | 0               | 272,519          | 0                | 280,310          |
| Lease liabilities                                                   | 260              | 778             | 3,894            | 287              | 5,219            |
| Other financial liabilities                                         | 13,230           | 0               | 0                | 0                | 13,230           |
| Subordinated debt                                                   | 11,003           | 3,458           | 58,271           | 0                | 72,732           |
| <b>Total financial liabilities</b>                                  | <b>1,344,095</b> | <b>792,690</b>  | <b>371,526</b>   | <b>645</b>       | <b>2,508,956</b> |
| <b>Off-balance sheet liabilities</b>                                |                  |                 |                  |                  |                  |
| Undrawn lines of credit and overdraft facilities                    | 212,841          | 0               | 0                | 0                | 212,841          |
| Financial guarantees by contractual amounts                         | 29,539           | 0               | 0                | 0                | 29,539           |
| <b>Total on-balance-sheet and off-balance-sheet liabilities</b>     | <b>1,586,475</b> | <b>792,690</b>  | <b>371,526</b>   | <b>645</b>       | <b>2,751,336</b> |
| <b>Duration gap of financial assets and financial liabilities</b>   | <b>-990,329</b>  | <b>-444,895</b> | <b>946,784</b>   | <b>1,130,383</b> | <b>641,943</b>   |

  

| 31.12.2024                                                          | Up to 3 months   | 3-12 months     | 1-5 years        | Over 5 years     | Total            |
|---------------------------------------------------------------------|------------------|-----------------|------------------|------------------|------------------|
| <b>Assets</b>                                                       |                  |                 |                  |                  |                  |
| Cash, cash balances at central banks and other deposits             | 343,678          | 0               | 0                | 0                | 343,678          |
| Debt securities at fair value through other comprehensive income    | 905              | 6,136           | 32,716           | 2,553            | 42,310           |
| Loans and advances to customers                                     | 83,105           | 296,754         | 1,124,704        | 1,026,390        | 2,530,953        |
| Equity instruments at fair value through other comprehensive income | 0                | 0               | 0                | 13               | 13               |
| Other financial assets                                              | 1,590            | 20              | 0                | 0                | 1,610            |
| <b>Total financial assets</b>                                       | <b>429,278</b>   | <b>302,910</b>  | <b>1,157,420</b> | <b>1,028,956</b> | <b>2,918,564</b> |
| <b>Liabilities</b>                                                  |                  |                 |                  |                  |                  |
| Customer deposits                                                   | 996,901          | 808,010         | 86,623           | 1,756            | 1,893,290        |
| Loans received                                                      | 62               | 721             | 6,331            | 1,333            | 8,447            |
| Lease liabilities                                                   | 248              | 744             | 3,866            | 1,119            | 5,977            |
| Other financial liabilities                                         | 15,443           | 0               | 0                | 0                | 15,443           |
| Subordinated debt                                                   | 1,240            | 3,732           | 14,017           | 68,515           | 87,504           |
| <b>Total financial liabilities</b>                                  | <b>1,013,894</b> | <b>813,207</b>  | <b>110,837</b>   | <b>72,723</b>    | <b>2,010,661</b> |
| <b>Off-balance sheet liabilities</b>                                |                  |                 |                  |                  |                  |
| Undrawn lines of credit and overdraft facilities                    | 133,090          | 0               | 0                | 0                | 133,090          |
| Financial guarantees by contractual amounts                         | 18,498           | 0               | 0                | 0                | 18,498           |
| <b>Total on-balance-sheet and off-balance-sheet liabilities</b>     | <b>1,165,482</b> | <b>813,207</b>  | <b>110,837</b>   | <b>72,723</b>    | <b>2,162,249</b> |
| <b>Duration gap of financial assets and financial liabilities</b>   | <b>-736,204</b>  | <b>-510,297</b> | <b>1,046,583</b> | <b>956,233</b>   | <b>756,315</b>   |

\* As of 31.12.2025 and 31.12.2024 28,100 thousand euros of principal amount of subordinated perpetual bonds (Tier 1) is included in this maturity bucket. Presented in Note 19.

\*\*Undiscounted cash flows as at 31 December 2024 have been updated compared to those disclosed in the 2024 report by the amount of interest.

The following table provides information on assets and liabilities, presented in order of their liquidity:

| Liquidity gap                                                       | 31.12.2025       |                  |                  | 31.12.2024       |                  |                  |
|---------------------------------------------------------------------|------------------|------------------|------------------|------------------|------------------|------------------|
|                                                                     | Within 12 months | After 12 months  | Total            | Within 12 months | After 12 months  | Total            |
| <b>Assets</b>                                                       |                  |                  |                  |                  |                  |                  |
| Cash, cash balances at central banks and other deposits             | 488,717          | 0                | 488,717          | 343,678          | 0                | 343,678          |
| Debt securities at fair value through other comprehensive income    | 5,121            | 52,914           | 58,035           | 5,487            | 32,264           | 37,751           |
| Debt securities at amortized cost                                   | 0                | 4,988            | 4,988            | 0                | 0                | 0                |
| Loans and advances to customers                                     | 325,567          | 1,788,524        | 2,114,091        | 261,346          | 1,512,772        | 1,774,118        |
| Equity instruments at fair value through other comprehensive income | 0                | 13               | 13               | 0                | 13               | 13               |
| Derivatives                                                         | 3,681            | 0                | 3,681            | 0                | 0                | 0                |
| incl. inflows                                                       | 5,138            | 0                | 5,138            | 0                | 0                | 0                |
| incl. outflows                                                      | -1,457           | 0                | -1,457           | 0                | 0                | 0                |
| Other financial assets                                              | 738              | 3                | 741              | 1,610            | 0                | 1,610            |
| Other assets                                                        | 1,718            | 0                | 1,718            | 2,035            | 0                | 2,035            |
| Assets held for sale                                                | 1,256            | 0                | 1,256            | 1,140            | 0                | 1,140            |
| Right-of-use assets                                                 | 0                | 4,736            | 4,736            | 0                | 5,107            | 5,107            |
| Tangible assets                                                     | 0                | 3,539            | 3,539            | 0                | 3,451            | 3,451            |
| Intangible assets                                                   | 0                | 14,722           | 14,722           | 0                | 12,954           | 12,954           |
| Goodwill                                                            | 0                | 6,757            | 6,757            | 0                | 6,757            | 6,757            |
| <b>Total assets</b>                                                 | <b>826,798</b>   | <b>1,876,196</b> | <b>2,702,994</b> | <b>615,296</b>   | <b>1,573,318</b> | <b>2,188,614</b> |
| <b>Liabilities</b>                                                  |                  |                  |                  |                  |                  |                  |
| Customer deposits                                                   | 2,014,216        | 33,243           | 2,047,459        | 1,792,439        | 85,426           | 1,877,865        |
| Loans received                                                      | 74,124           | 2,937            | 77,061           | 693              | 7,587            | 8,280            |
| Debt securities                                                     | 6,121            | 249,082          | 255,203          | 0                | 0                | 0                |
| Lease liabilities                                                   | 883              | 3,883            | 4,766            | 875              | 4,278            | 5,153            |
| Other financial liabilities                                         | 13,230           | 0                | 13,230           | 15,443           | 0                | 15,443           |
| Subordinated debt                                                   | 10,048           | 53,100           | 63,148           | 48               | 63,100           | 63,148           |
| Other liabilities                                                   | 5,986            | 1,598            | 7,584            | 7,088            | 0                | 7,088            |
| <b>Total liabilities</b>                                            | <b>2,124,608</b> | <b>343,843</b>   | <b>2,468,451</b> | <b>1,816,586</b> | <b>160,391</b>   | <b>1,976,977</b> |

## Market risk management

Market risk arises from the Group's trading and investment activities in the interest, currency and equity markets, as well as from mismatches between the currencies or interest rates of assets and liabilities. Market risk arises from changes in interest rates, currency exchange rates and prices of financial assets. The acceptance of market risk is controlled by using risk limits. Different factors influencing market risks are monitored on a daily basis.

Interest rate and foreign exchange risks are monitored and managed on a Group level, taking into account the impact of all assets and liabilities. In 2025, the Bank implemented an interest rate swap to hedge the interest rate risk arising from a long-term fixed-rate covered bond. The Bank takes into account the combined effect of the covered bond and the interest rate swap in the Group's overall interest rate risk calculation, and additionally monitors separately the effectiveness of the hedge between the covered bond and the interest rate swap.

Market risk arising from the investments in debt securities is monitored separately. The volume of the debt securities portfolio increased in total in 2025, a more detailed overview is given in Note 10. The average maturity of the portfolio has decreased. The market risk of the portfolio of debt securities is mainly caused by the maturity date and possible change in interest rates. The interest rate sensitivity of the financial investments portfolio is calculated regularly. The sensitivity of the debt securities portfolio given a 100 bp increase in interest rates as at 31.12.2025 was -5,046 (31.12.2024: -1,153) thousand euros.

Currency risk is defined as a risk arising from the differences in the currency structure of the Group's assets and liabilities. Changes in currency exchange rates cause changes in the value of assets and liabilities, as well as the amount of income and expenses measured in the functional currency. The Group generally maintains minimum foreign currency positions required for the provision of services to customers. All foreign currency positions are continually monitored and marked to market. The total amount of open currency positions in the consolidated statement of financial position as at 31.12.2025 was 198 (31.12.2024: 162) thousand euros. The sensitivity analysis has been carried out with the justified effects of possible exchange rate changes (5% on average) on the statement of profit or loss remaining constant for all other variables, the impact amount is 9 (31.12.2024: 12) thousand euros.

Data on the structure of assets and liabilities by currency positions and respective net currency positions have been presented in the following table.

| 31.12.2025                                                          | EUR              | USD        | SEK        | Other      | Total            |
|---------------------------------------------------------------------|------------------|------------|------------|------------|------------------|
| <b>Assets</b>                                                       |                  |            |            |            |                  |
| Cash, cash balances at central banks and other deposits             | 486,857          | 915        | 779        | 166        | 488,717          |
| Debt securities at fair value through other comprehensive income    | 58,035           | 0          | 0          | 0          | 58,035           |
| Debt securities at amortized cost                                   | 4,988            | 0          | 0          | 0          | 4,988            |
| Loans and advances to customers                                     | 2,114,091        | 0          | 0          | 0          | 2,114,091        |
| Equity instruments at fair value through other comprehensive income | 13               | 0          | 0          | 0          | 13               |
| Derivatives                                                         | 3,681            | 0          | 0          | 0          | 3,681            |
| Other financial assets                                              | 741              | 0          | 0          | 0          | 741              |
| <b>Total financial assets</b>                                       | <b>2,668,406</b> | <b>915</b> | <b>779</b> | <b>166</b> | <b>2,670,266</b> |
| <b>Liabilities</b>                                                  |                  |            |            |            |                  |
| Customer deposits                                                   | 2,045,833        | 844        | 688        | 94         | 2,047,459        |
| Loans received                                                      | 77,061           | 0          | 0          | 0          | 77,061           |
| Subordinated debt                                                   | 63,148           | 0          | 0          | 0          | 63,148           |
| Debt securities                                                     | 255,203          | 0          | 0          | 0          | 255,203          |
| Lease liabilities                                                   | 4,766            | 0          | 0          | 0          | 4,766            |
| Other financial liabilities                                         | 13,194           | 22         | 5          | 9          | 13,230           |
| <b>Total financial liabilities</b>                                  | <b>2,459,205</b> | <b>866</b> | <b>693</b> | <b>103</b> | <b>2,460,867</b> |
| <b>Net position</b>                                                 | <b>209,201</b>   | <b>49</b>  | <b>86</b>  | <b>63</b>  | <b>209,399</b>   |

| 31.12.2024                                                          | EUR              | USD          | SEK          | Other      | Total            |
|---------------------------------------------------------------------|------------------|--------------|--------------|------------|------------------|
| <b>Assets</b>                                                       |                  |              |              |            |                  |
| Cash, cash balances at central banks and other deposits             | 339,301          | 1,035        | 3,119        | 223        | 343,678          |
| Debt securities at fair value through other comprehensive income    | 37,751           | 0            | 0            | 0          | 37,751           |
| Loans and advances to customers                                     | 1,774,118        | 0            | 0            | 0          | 1,774,118        |
| Equity instruments at fair value through other comprehensive income | 13               | 0            | 0            | 0          | 13               |
| Other financial assets                                              | 1,610            | 0            | 0            | 0          | 1,610            |
| <b>Total financial assets</b>                                       | <b>2,152,793</b> | <b>1,035</b> | <b>3,119</b> | <b>223</b> | <b>2,157,170</b> |
| <b>Liabilities</b>                                                  |                  |              |              |            |                  |
| Customer deposits                                                   | 1,875,179        | 1,008        | 1,528        | 150        | 1,877,865        |
| Loans received                                                      | 8,280            | 0            | 0            | 0          | 8,280            |
| Subordinated debt                                                   | 63,148           | 0            | 0            | 0          | 63,148           |
| Lease liabilities                                                   | 5,153            | 0            | 0            | 0          | 5,153            |
| Other financial liabilities                                         | 13,914           | 25           | 1,504        | 0          | 15,443           |
| <b>Total financial liabilities</b>                                  | <b>1,965,674</b> | <b>1,033</b> | <b>3,032</b> | <b>150</b> | <b>1,969,889</b> |
| <b>Net position</b>                                                 | <b>187,119</b>   | <b>2</b>     | <b>87</b>    | <b>73</b>  | <b>187,281</b>   |

Interest rate risk is defined as a risk of unexpected unfavourable changes in interest rates that might affect the revenue generated by the Group. The Group is exposed to interest rate risk if the due payment dates of its main assets and liabilities are different, if the structure of assets and liabilities varies in different currencies or if the interest rates of assets and liabilities can be adjusted at different time intervals.

The volume of floating rate loans that are EURIBOR-related as of 31.12.2025 was 1,922,148 (31.12.2024: 1,601,539) in thousands of euros. The Group has no loans related with other benchmarks.

Interest-bearing financial assets and financial liabilities by next interest rate repricing period

| 31.12.2025                                                       | Up to 3 months   | 3-12 months    | 1-5 years       | Over 5 years   | Principal        | Accrued interest | Loss allowance | Total            |
|------------------------------------------------------------------|------------------|----------------|-----------------|----------------|------------------|------------------|----------------|------------------|
| <b>Financial assets exposed to interest rate risk</b>            |                  |                |                 |                |                  |                  |                |                  |
| Balances with central banks                                      | 462,301          | 0              | 0               | 0              | 462,301          | 0                | 0              | 462,301          |
| Loans and advances to credit institutions                        | 22,128           | 0              | 0               | 0              | 22,128           | 0                | 0              | 22,128           |
| Debt securities at fair value through other comprehensive income | 0                | 2,826          | 27,931          | 26,694         | 57,451           | 605              | -21            | 58,035           |
| Debt securities at amortized cost                                | 0                | 0              | 4,535           | 472            | 5,007            | 4                | -23            | 4,988            |
| Loans and advances to customers                                  | 1,134,320        | 991,357        | 846             | 0              | 2,126,523        | 6,989            | -19,421        | 2,114,091        |
| Derivatives                                                      | 0                | 0              | 3,681           | 0              | 3,681            | 0                | 0              | 3,681            |
| <b>Total financial assets exposed to interest rate risk</b>      | <b>1,618,749</b> | <b>994,183</b> | <b>36,993</b>   | <b>27,166</b>  | <b>2,677,091</b> | <b>7,598</b>     | <b>-19,465</b> | <b>2,665,224</b> |
| <b>Financial liabilities exposed to interest rate risk</b>       |                  |                |                 |                |                  |                  |                |                  |
| Customer deposits                                                | 1,231,349        | 769,284        | 29,492          | 5,328          | 2,035,453        | 12,006           | 0              | 2,047,459        |
| Loans received                                                   | 72,000           | 848            | 4,158           | 0              | 77,006           | 55               | 0              | 77,061           |
| Debt securities                                                  | 6,122            | 0              | 249,081         | 0              | 255,203          | 0                | 0              | 255,203          |
| Subordinated debt                                                | 0                | 15,000         | 0               | 48,100         | 63,100           | 48               | 0              | 63,148           |
| <b>Total financial liabilities exposed to interest rate risk</b> | <b>1,309,471</b> | <b>785,132</b> | <b>282,731</b>  | <b>53,428</b>  | <b>2,430,762</b> | <b>12,109</b>    | <b>0</b>       | <b>2,442,871</b> |
| <b>Exposure to interest rate risk duration gap</b>               | <b>309,278</b>   | <b>209,051</b> | <b>-245,738</b> | <b>-26,262</b> | <b>246,329</b>   | <b>-4,511</b>    | <b>-19,465</b> | <b>222,353</b>   |
| <b>31.12.2024</b>                                                |                  |                |                 |                |                  |                  |                |                  |
| <b>Financial assets exposed to interest rate risk</b>            |                  |                |                 |                |                  |                  |                |                  |
| Balances with central banks                                      | 317,696          | 0              | 0               | 0              | 317,696          | 0                | 0              | 317,696          |
| Loans and advances to credit institutions                        | 24,214           | 0              | 0               | 0              | 24,214           | 0                | 0              | 24,214           |
| Debt securities at fair value through other comprehensive income | 500              | 4,958          | 29,144          | 2,781          | 37,383           | 368              | 0              | 37,751           |
| Loans and advances to customers                                  | 926,977          | 857,713        | 1,045           | 0              | 1,785,735        | 6,934            | -18,551        | 1,774,118        |
| <b>Total financial assets exposed to interest rate risk</b>      | <b>1,269,387</b> | <b>862,671</b> | <b>30,189</b>   | <b>2,781</b>   | <b>2,165,028</b> | <b>7,302</b>     | <b>-18,551</b> | <b>2,153,779</b> |
| <b>Financial liabilities exposed to interest rate risk</b>       |                  |                |                 |                |                  |                  |                |                  |
| Customer deposits                                                | 996,311          | 785,507        | 74,562          | 6,103          | 1,862,483        | 15,382           | 0              | 1,877,865        |
| Loans received                                                   | 0                | 662            | 6,253           | 1,333          | 8,248            | 32               | 0              | 8,280            |
| Subordinated debt                                                | 0                | 15,000         | 0               | 48,100         | 63,100           | 48               | 0              | 63,148           |
| <b>Total financial liabilities exposed to interest rate risk</b> | <b>996,311</b>   | <b>801,169</b> | <b>80,815</b>   | <b>55,536</b>  | <b>1,933,831</b> | <b>15,462</b>    | <b>0</b>       | <b>1,949,293</b> |
| <b>Exposure to interest rate risk duration gap</b>               | <b>273,076</b>   | <b>61,502</b>  | <b>-50,626</b>  | <b>-52,755</b> | <b>231,197</b>   | <b>-8,160</b>    | <b>-18,551</b> | <b>204,486</b>   |

Interest rate risk management entails the analysis of the interest rate risk of all the Group's assets and liabilities and the management of duration. The bank measures interest rate risk daily according to the European Commission Delegated Regulation (EU) 2024/857 requirements on the management of interest rate risk arising from non-trading book activities. To measure and stress test the interest rate risk of the banking book, the parallel shift of the risk-free interest rate curve and other possible changes in the interest rate curve are taken into account, including changes in slope and shape, that affect the Group's net interest income and the economic value of equity.

The bank assesses the following stress scenarios:

1. The effect of the risk-free interest rate curve parallel shift from -200bp to + 200bp on the group's net interest income over 12 months and on the economic value of equity is assessed.
2. The effect of the change in the shape and slope of the interest rate curve on the economic value of the Group's equity is assessed by changing interest rates between + 250bp and -250bp across maturity curves, including short-term and long-term interest rate movements in the opposite direction.
3. Changes in the slope of the interest rate curve:
  - rise and fall in short-term interest rates;
  - increase in short-term interest rates, decrease in long-term interest rates;
  - decrease in short-term interest rates, increase in long-term interest rates

The table below specifies the estimates regarding the annual impact of a parallel shifts in the yield curve on the Group's economic value of equity according to beforementioned calculations with simplified standardised methodology:

| Change in Economic Value of Equity (EVE) | 31.12.2025 | 31.12.2024 |
|------------------------------------------|------------|------------|
| EVE under parallel shock up              | 1,750      | 5,839      |
| EVE under parallel shock down            | -13,112    | -15,558    |
| EVE under steepener shock                | -2,175     | -2,670     |
| EVE under flattener shock                | 797        | 2,298      |
| EVE under short rates shock up           | 1,241      | 3,879      |
| EVE under short rates shock down         | -7,982     | -9,531     |

The table below specifies the estimates with regard to the annual impact of a parallel shifts in the yield curve on the net interest income according to aforementioned calculations with simplified standardised methodology:

| Change in Net Interest Income (NII) | 31.12.2025 | 31.12.2024 |
|-------------------------------------|------------|------------|
| NII under parallel shock up         | 1,910      | 6,748      |
| NII under parallel shock down       | -5,390     | -9,689     |

Interest risk management is made through limiting due dates of assets and liabilities of different currencies that are open to interest risk, balancing the structure of due dates of assets and liabilities and the use of derivative instruments when needed.

## Derivatives

Derivatives are only used as a designated hedging instruments and not as speculative investments. The full fair value of hedging derivatives is classified as an asset or liability.

Hedge effectiveness is determined at the inception of the hedge relationship, and through periodic prospective effectiveness assessments, to ensure that an economic relationship exists between the hedged item and the hedging instrument. The group enters into interest rate swaps that have similar critical terms as the hedged item, such as reference rate, reset dates, payment dates, maturities and notional amount.

| Interest rate swap                                   | 31.12.2025 |
|------------------------------------------------------|------------|
| Fair value                                           | 3,681      |
| Notional amount                                      | 250,000    |
| Maturity date                                        | 2029       |
| Hedge ratio                                          | 1:1        |
| Accumulated fair value changes of hedging instrument | 327        |
| Accumulated fair value changes of hedged item        | -327       |

In 2025, the Bank used an interest rate swap fixing derivative transaction to hedge the interest rate risk arising from the issuance of covered bonds. The notional amount of the transaction is EUR 250,000 thousand, with a maturity date of 20 March 2029, corresponding to the terms of the issued covered bond. The reference rate of the interest rate derivative transaction is the 6-month EURIBOR, which also represents the primary reference rate base of the Bank's loan portfolio. The interest rate derivative transaction forms part of the Bank's interest rate risk position and is included in the calculation of interest rate risk in the banking book and stress testing, in accordance with Commission Delegated Regulation (EU) 2024/857.

## Operational risk management

Operational risk is the risk that arises from disruptions or deficiencies in the Group's information systems, personnel, processes or external factors, causing damage or disruption to the Group's day-to-day business. Operational risk includes information systems risk, information security risk, compliance risk (including money laundering and terrorist financing risk), process risk, personnel risk, legal risk, physical security risk, work environment risk, external risk and asset destruction risk. The Group follows the operational risk policy established in the management of operational risk.

Operational risk is treated and managed in the Group as a separate area of risk management for which the necessary resources have been allocated. Operational risk management is integrated into the Group's day-to-day operations and is primarily aimed at activities that prevent and control the realisation of risk. Awareness of the nature, impact and need for control of operational risk must take place at the level of each employee in the group. The most important sub-risks - information security and compliance risks – are managed separately.

The assessment of operational risks in the Group is primarily qualitative. Operational risk cases are registered in the case database together with the amount of damage that has occurred. The Group monitors the quantitative dynamics of operational risk by analysing the main risk indicators at least quarterly. The Management Board conducts regular quarterly reviews of the main risk indicators of operational risk and incidents. The Group conducts regular operational risk self- assessment. The Group uses the basic approach to calculate the capital requirement for operational risk.



## Environmental, social and governance risk management

Environmental, social and governance (ESG)-related risks are expressed in the effects of the Group's operations and business activities on the environment, society and related stakeholders, as well as on the Group itself, which may lead to a deterioration of the Group's financial condition, an increase in costs, damage to resources, or significant financial loss. ESG risk management is, among other things, integrated with the management of other risk categories such as credit risk, compliance risk, operational risk, and strategic and reputational risk. The Group tries to avoid conscious risks, which may be accompanied by the realization of ESG risks.

The Chief Risk Officer is responsible for the sustainability area among the members of the Management Board. The Supervisory Board has examined the ESG approach in the context of renewing business strategy. Coop Pank have recognized the existence of climate and environmental risks and have excluded financing that has a significant negative impact on the environment. In addition, we try to avoid creating a negative impact on society, for example, we do not offer financing for certain areas of activity that are not in line with the goals of responsibility and sustainability.

From the Group's point of view, ESG risks can be divided into two categories. In the first case, we are dealing with ESG risks of the Coop Pank AS as an organization, and in the second case, with the risks of the Group's loan portfolio. Today, we have become aware of the main organization-specific risks as:

**Environmental risks** – mainly related to our office operations and server parks (for instance, floods). When managing these risks, it is important to consider that our offices are located on leased premises and we do not bear significant property damage in the case of physical risks (except possible property damage to our IT equipment, furniture, etc., but we have insured against this risk). In the event of a physical adverse event, most employees will be able to continue working in the home office.

**Social risks** – the main risks are related to employee relations, human rights, working conditions, equal opportunities, and diversity. The HR department and the management actively deal with social risk management to ensure continuous improvement of the working environment, prevention of undesirable events and creation of various benefits and opportunities for employees.

**Risks related to governance** – the main risks are regulatory and related to the transparency of the bank's governance. Risks are managed through the fact that we are a listed company, and we are subject to significantly stricter frameworks and supervision requirements than ordinary companies. It is also the task of the legal department and the compliance control unit to ensure that the bank's operations comply with the applicable legal regulations.

### ESG risks of the bank's loan portfolio

When it comes to the ESG risks of the Group's loan portfolio, we approach from the principle of double materiality, paying attention to both, factors that are influenced by the bank and aspects that affect the bank. To clarify the main points of influence of Coop Pank's loan portfolio, we have conducted an impact analysis based on the UNEP FI methodology.

**Leasing** – leasing is most affected in the context of ESG by the fact that the global car market is increasingly moving towards electric cars, thus providing an opportunity to finance them. We also follow the principle that an important aspect of leasing portfolio's ESG risk management is to finance a significant volume of the already

produced car fleet and not to focus only on financing new vehicles. The share of used car financing in our portfolio continues to grow.

**Consumer financing** – the main risk is social risk, i.e. responsible lending. The risk is managed by assessing the loan servicing capacity on a customer-by-customer basis in accordance with current regulations and performing follow-up checks accordingly. Corresponding IT solutions are constantly being developed so that the realisation of the risk is minimised.

**Private client real estate financing** – the main risk is environmental risk. In cooperation with the Estonian Banking Association and the Estonian Association of Appraisers, a common ESG assessment has been developed, which will be used in the assessment of collateral assets. To date, the bank has mitigated the environmental risk through the fact that insurance is required for all guarantees.

**Corporate client financing** – all ESG-related risks occur here, similarly to the bank's ESG risks as an organisation, as well as collateral asset risks (see private client real estate financing). To manage the accompanying risks, the bank has decided not to finance areas of activity that have a negative social or environmental impact. According to the internal procedures, during 2024 and 2025 it has been recommended to assess ESG risks separately for clients who are CSRD obligated (in addition so-called large companies, clients with a significant environmental impact due to their field of activity, and clients whose potential loan position is greater than 10% of the bank's Tier 1 capital). Based on assessments, we have so far made qualitative conclusions about the possible increase in credit risk.

Considering the current development of ESG risk management both at the Bank and at the regulatory level, the level of ESG risks in 2025 has not been considered as an input in our ECL models. As an indirect effect, we can point out that since according to our credit policy (since 2017) it is not allowed to finance projects with either a significant environmental impact or a negative social impact, our ECL rates have been based on a portfolio in which significant ESG risk has been consciously avoided.

To successfully manage and mitigate risks, we consider it important to get to know them better.

## Fair value of assets and liabilities

The Group estimates the fair value of financial assets and financial liabilities that are not measured at fair value in the statement of financial position of the Group. Assets not measured at fair value are primarily loans and advances to customers and liabilities not measured at fair value are mainly deposits.

IFRS 13 determines a hierarchy for fair value measurements that is based on whether inputs are observable or unobservable. Observable inputs reflect market information obtained from independent sources; unobservable inputs reflect assumptions that are not available in a market. The following hierarchy for fair value measurement has been established based on these two categories of inputs:

Level 1 – (unadjusted) quoted prices in active markets for identical assets or liabilities that the entity can access at the measurement date. This level includes publicly quoted equity-related securities and debt instruments listed on exchanges, as well as instruments quoted by market participants.

Level 2 – inputs other than quoted market prices included within Level 1 that are observable for the asset or liability, either directly (in the form of prices) or indirectly (derived from prices). Sources for input parameters (for example euro debt securities yield curve or counterparty credit risk) are Bloomberg and Reuters.

Level 3 – inputs for assets or liabilities that are not based on observable market information (unobservable inputs).

The fair value of loans and advances as at 31.12.2025 was 0,08% higher (1,779 thousand euros) than their carrying amount. The fair value of deposits as at 31.12.2025 was -0.03% lower (-644 thousand euros) than their carrying amount.

| 31.12.2025                                              | IFRS 9 measurement | Level 1       | Level 2          | Level 3          | Fair value       | Carrying value   |
|---------------------------------------------------------|--------------------|---------------|------------------|------------------|------------------|------------------|
| <b>Financial assets</b>                                 |                    |               |                  |                  |                  |                  |
| Cash, cash balances at central banks and other deposits | AC                 | 0             | 488,717          | 0                | 488,717          | 488,717          |
| Debt securities                                         | FVOCI              | 55,209        | 0                | 2,826            | 58,035           | 58,035           |
| Debt securities                                         | AC                 | 0             | 0                | 4,988            | 4,988            | 4,988            |
| Equity instruments                                      | FVOCI              | 0             | 13               | 0                | 13               | 13               |
| Loans and advances to customers                         | AC                 | 0             | 0                | 2,115,870        | 2,115,870        | 2,114,091        |
| Incl. receivables from private individuals              | AC                 | 0             | 0                | 1,055,529        | 1,055,529        | 1,054,601        |
| Incl. receivables from legal entities                   | AC                 | 0             | 0                | 1,060,341        | 1,060,341        | 1,059,490        |
| Derivatives                                             | FVPL               | 0             | 3,681            | 0                | 3,681            | 3,681            |
| Other financial assets                                  | AC                 | 0             | 741              | 0                | 741              | 741              |
| <b>Total financial assets</b>                           |                    | <b>55,209</b> | <b>493,152</b>   | <b>2,123,684</b> | <b>2,672,045</b> | <b>2,670,266</b> |
| <b>Financial liabilities</b>                            |                    |               |                  |                  |                  |                  |
| Customer deposits                                       | AC                 | 0             | 2,046,816        | 0                | 2,046,816        | 2,047,459        |
| incl. private individuals                               | AC                 | 0             | 1,056,335        | 0                | 1,056,335        | 1,056,702        |
| incl. legal entities                                    | AC                 | 0             | 983,906          | 0                | 983,906          | 984,182          |
| incl. credit institutions                               | AC                 | 0             | 6,575            | 0                | 6,575            | 6,575            |
| Loans received                                          | AC                 | 0             | 77,046           | 0                | 77,046           | 77,061           |
| incl. legal entities                                    | AC                 | 0             | 5,007            | 0                | 5,007            | 5,022            |
| incl. central banks                                     | AC                 | 0             | 72,039           | 0                | 72,039           | 72,039           |
| Debt securities                                         | AC                 | 0             | 255,203          | 0                | 255,203          | 255,203          |
| Other financial liabilities                             | AC                 | 0             | 13,230           | 0                | 13,230           | 13,230           |
| Subordinated debt                                       | AC                 | 0             | 63,148           | 0                | 63,148           | 63,148           |
| <b>Total financial liabilities</b>                      |                    | <b>0</b>      | <b>2,455,443</b> | <b>0</b>         | <b>2,455,443</b> | <b>2,456,101</b> |

The fair value of loans and advances as at 31.12.2024 was 0.25% higher (4,456 thousand euros) than their carrying amount. The fair value of deposits as at 31.12.2024 was -0.13% lower (-2,372 thousand euros) than their carrying amount.

| 31.12.2024                                              | IFRS 9<br>measurement | Level 1       | Level 2          | Level 3          | Fair value       | Carrying<br>value |
|---------------------------------------------------------|-----------------------|---------------|------------------|------------------|------------------|-------------------|
| <b>Financial assets</b>                                 |                       |               |                  |                  |                  |                   |
| Cash, cash balances at central banks and other deposits | AC                    | 0             | 343,678          | 0                | 343,678          | 343,678           |
| Debt securities                                         | FVOCI                 | 37,751        | 0                | 0                | 37,751           | 37,751            |
| Equity instruments                                      | FVOCI                 | 0             | 13               | 0                | 13               | 13                |
| Loans and advances to customers                         | AC                    | 0             | 0                | 1,778,574        | 1,778,574        | 1,774,118         |
| Incl. receivables from private individuals              | AC                    | 0             | 0                | 928,956          | 928,956          | 925,005           |
| Incl. receivables from legal entities                   | AC                    | 0             | 0                | 849,618          | 849,618          | 849,113           |
| Other financial assets                                  | AC                    | 0             | 1,610            | 0                | 1,610            | 1,610             |
| <b>Total financial assets</b>                           |                       | <b>37,751</b> | <b>345,301</b>   | <b>1,778,574</b> | <b>2,161,626</b> | <b>2,157,170</b>  |
| <b>Financial liabilities</b>                            |                       |               |                  |                  |                  |                   |
| Customer deposits                                       | AC                    | 0             | 1,875,449        | 0                | 1,875,449        | 1,877,865         |
| incl. private individuals                               | AC                    | 0             | 966,481          | 0                | 966,481          | 967,891           |
| incl. legal entities                                    | AC                    | 0             | 906,417          | 0                | 906,417          | 907,423           |
| incl. credit institutions                               | AC                    | 0             | 2,551            | 0                | 2,551            | 2,551             |
| Loans received                                          | AC                    | 0             | 8,324            | 0                | 8,324            | 8,280             |
| incl. legal entities                                    | AC                    | 0             | 8,324            | 0                | 8,324            | 8,280             |
| Other financial liabilities                             | AC                    | 0             | 15,443           | 0                | 15,443           | 15,443            |
| Subordinated debt                                       | AC                    | 0             | 63,148           | 0                | 63,148           | 63,148            |
| <b>Total financial liabilities</b>                      |                       | <b>0</b>      | <b>1,962,364</b> | <b>0</b>         | <b>1,962,364</b> | <b>1,964,736</b>  |

The Group discounts cash flows using the market rate as a basis in order to estimate the fair value of financial assets and financial liabilities. The market rate for loans is the average interest rate used in the Group in the last 6 months prior to the balance sheet date. When determining the fair value of the deposits, the current deposit balances are discounted using the deposit interest rates offered to new deposits included in the analysis.